Bank Loan Eligibility & Underwriting Policy

1. Purpose

This document defines the eligibility criteria, debt ratios, credit score bands, and approval authority levels used to assess retail loan applications (home, vehicle, personal, and business loans).

2. Minimum Eligibility Criteria

Applicants must be between 21 and 60 years of age at loan maturity, have a minimum monthly income of INR 25,000, and a minimum of 1 year of continuous employment or 2 years of business vintage for self-employed applicants.

3. Credit Score Bands

Credit Score 750+: Excellent - eligible for best interest rate and fast-track processing. 700-749: Good - standard processing. 650-699: Fair - additional documentation and manual underwriting required. Below 650: Poor - loan is declined unless strong collateral (>= 150% of loan value) is provided and approved by senior underwriter.

4. Debt-to-Income (DTI) Ratio Rules

DTI ratio is computed as (existing EMIs + proposed EMI) / monthly income. DTI <= 0.35: Low risk, eligible for standard approval. DTI above 0.35 and up to 0.50: Medium risk, requires risk-agent review and may require a co-applicant or reduced loan amount. DTI > 0.50: High risk, application must be routed to manual/human underwriter review and is generally declined unless offset by high-value collateral.

5. Collateral and Loan-to-Value (LTV)

For secured loans, the Loan-to-Value ratio must not exceed 80% of the appraised collateral value. Loans with no collateral above INR 1,000,000 require mandatory human approval regardless of credit score.

6. Default History

Any applicant with a prior bank default or written-off loan in the last 5 years is automatically flagged High Risk and requires senior underwriter sign-off before any approval can be issued.

7. Approval Authority Matrix

Loans up to INR 1,000,000 with Low Risk classification may be auto-approved by the AI recommendation system subject to a human reviewer's final sign-off. Loans between INR 1,000,000 and INR 5,000,000, or classified Medium Risk, require review by a branch credit manager. Loans above INR 5,000,000, or classified High Risk, require committee-level human approval. In all cases, final disbursal requires an explicit human approval step; the AI system may only recommend, never auto-disburse.

8. Documentation Requirements

Salaried applicants must submit the last 3 months' salary slips, 6 months' bank statements, and Form 16. Self-employed applicants must submit 2 years of ITR, audited financials, and 12 months' bank statements.

9. Rejection & Re-application

Rejected applicants may reapply after 90 days. The rejection reason must be clearly communicated, referencing the specific policy clause that was not met.